

Imaging: Bireesh Sreedharan



The Money Managers

As VAT looms large, small and medium business need to gear up for the new tax regime. Is your financial accounting software up to speed?

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Courtesy the ubiquitous business accounting software, the thick, dusty ledger is no longer a part of the modern office. One need not be a geek to be able to handle Financial Accounting (FA) software. Numerous user-friendly versions sell like hotcakes while upgrades and enhancements act as the proverbial icing.

As per the universal rule of the double entry system of bookkeeping, each debit should have an equal and corresponding credit. FA software

ensures this while eliminating calculation mistakes and reduces the probability of human error as opposed to the manual accounting system. Moreover, FA software reduces paperwork even further, as reminder letters, invoices, statements of accounts and other documents can be e-mailed, thus saving time and postage. Popular FA software has forsaken the outdated MS DOS environment for a complete Windows-based accounting system.

FA Software For SMBs

FA software is more comprehensive and differs from software that can be used only for specific purposes such as taxation or payroll. Accounting software needs vary, from those of individuals to those of large, corporate enterprises. We talk here about FA software intended for small and medium businesses (SMBs).

Make Way For VAT

It's an eventful time for SMBs, with the financial year-end looming, coupled with the implementation of the long overdue Value Added Tax (VAT) from April 1, 2005. A form of sales tax paid on products and services at each stage of distribution, based on the value added at that stage, VAT will figure in the ultimate cost to the consumer. An indirect tax, the VAT regime aims to increase tax compliance and will spare no one. What implications will the introduction of VAT have on accounting procedures?

Prakash Surte, a lawyer and a tax consultant, offers, "As with the enactment of any taxation act, VAT may lead to a disgruntled general public. Nevertheless, it is a good move as all the earlier sales tax acts will be repealed and VAT will take their place. Originally meant to be a uniform rate, the VAT will vary as per commodity and state. Remember, VAT falls under the purview of the State and not that of the Central Government. Once VAT is implemented, the maintenance of accounts will change to an extent, since the sales tax-related provisions and incidence of taxation will have to be calculated differently."

The majority of the FA software in the Indian market is home-grown. Tally, EQA, Accounts 21, Wings Accounting and S'Tax are popular packages. Digit spoke to vendors of FA software and to end users to get a snapshot of what's in and what's not for SMBs.



EQA

Expert Quick Accounting, or EQA (www.compubrain.net), is equipped to handle manufacturing, trading, excise, point of sales, sales tax and warehouse management, and VAT, too. EQA was made VAT-compliant last year, taking into account the reports, returns and forms that would have to be filed state-wise. Vikas Chitlangia, MD, Compubrain India Limited, developers and marketers of EQA, says, "EQA is customisable. The user can tweak it and set the 'master' as per his requirements. The proprietary database is in .eqa form and is compatible with other software. The 'report designer' feature enables preparation of invoice and